

5.5 Decomposing the Decline in Junior Employment into Flows

The decline in junior employment in adopting firms can arise through three channels: (i) reduced hiring, (ii) increased separations, or (iii) increased promotions to senior positions. Our LinkedIn-based résumé data can be viewed as a detailed matched employer-employee dataset, allowing us to track these worker flows over time. Specifically, we estimate separate DiD regressions of the following form:

$$y_{it} = \alpha + \beta (\text{Adopt}_i \times \text{Post}_t) + \delta_t + \gamma_i + \xi_{pt} + \varepsilon_{it}, \quad (15)$$

where y_{it} denotes the number of junior hires, number of junior separations, or the junior promotion rate³¹ in firm i at quarter t . γ_i denotes firm fixed effects, δ_t are time fixed effects and ξ_{pt} are industry-by-time fixed effects.

Table 4 reports the estimated β from Equation 15. The results indicate that the sharp contraction in junior employment among adopters is driven primarily by a slowdown in hiring. Specifically, the coefficient on *Hiring* implies that, relative to non-adopters, GenAI-adopting firms hired on average 4.0 fewer junior workers per quarter after 2023Q1—about an 80 percent reduction relative to the pre-period mean of 5.06 hires per firm-quarter. Junior separations also declined among adopters, by roughly 1.1 workers per quarter, partially offsetting the hiring contraction; but this reduction is about one-fourth the magnitude of the hiring decline, so net junior employment still contracts sharply.³² Junior promotion rates rose by a small but statistically significant 0.033 percentage points (relative to a pre-period mean of 0.82 percent). Because promotions move workers out of the junior pool, this rise further reduces the junior stock, though its magnitude is very small relative to the hiring channel. Appendix A.28 explores sectoral heterogeneity in the decline in junior hiring, showing that the contraction is broad-based across industries and not driven disproportionately by any single sector.

³¹The junior promotion rate is defined as $\frac{\text{Promotions}_t}{\text{Junior Employment}_{t-1}}$, expressed in percentage points.

³²See Supplemental Appendix A.26 for the time-series DiD results for junior hires and exits.

Table 4: Hiring, Separations, and Promotions

	Hiring	Separation	Promotion (rate)
Treat $\times$ Post	−4.006*** (0.221)	−1.089*** (0.163)	0.033** (0.014)
Pre-period mean	5.059	4.154	0.822
Observations	7,941,179	7,941,179	7,690,581
Clusters (firms)		280,866	

Notes: This table reports the estimated β from Equation 15. Estimation begins in 2018 to exclude early-sample trends. Standard errors clustered by firm in parentheses.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

6 Conclusion

This paper provides early, large-scale evidence that the diffusion of GenAI since 2023 is associated with *seniority-biased* employment effects within firms. Using résumé and job-posting data linked to roughly 281,000 U.S. firms, together with a firm-level adoption measure based on “GenAI integrator” vacancies, we document a decline in junior employment relative to senior employment at adopting firms compared with non-adopting firms. This decline is concentrated in high-exposure occupations: within adopting firms, junior employment in high-exposure occupations contracts relative to low-exposure occupations after 2022, while the corresponding senior series continues to rise. Task-level evidence from job postings points to the same mechanism: GenAI-exposed tasks become less likely to appear in junior task bundles at adopting firms. Finally, decomposing employment flows shows that the decline is driven primarily by slower hiring rather than increased separations.

These findings should be interpreted with caution. Adopting firms differ systematically in size, workforce composition, and industry. Although our research designs absorb many observable and unobservable differences across firms, sectors, and time, unobserved confounding factors may remain. We therefore examine four prominent alternative explanations: monetary tightening, post-pandemic hiring dynamics, the expansion of remote work, and labor-supply shocks. These tests support our interpretation, but they cannot rule out all alternative explanations. In addition, our adoption measure captures deliberate organizational integration of GenAI but may miss informal or “silent” adop-

tion within firms. Finally, because GenAI is still in the early stages of diffusion, longer-run adjustments in training, task allocation, wages, and internal career ladders may either attenuate or amplify the effects documented here.

Even with these caveats, the results suggest that GenAI adoption may be shifting labor demand away from entry-level tasks and narrowing the lower rungs of internal career ladders. Because early-career jobs are central to skill formation and lifetime earnings growth, such changes may have consequences beyond short-run employment. Whether these patterns persist, and whether firms respond by redesigning training, tasks, or career progression, remains an important question for future research.

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